

“It is very important to read the profile of those on social networks to make sure you are targeting your prospective audience”

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Micro-Marketing

A fast-emerging medium for advertising your online presence are social networking sites. These sites allow users to create micro-communities amongst themselves based around user interests. This gives you the opportunity to advertise your products to the correct audience. So if you are a dog-food manufacturer, just go to a dog lover's community and post on the forums there! You can create excitement by offering discounts. You *could* mass e-mail the entire community, but that is risky. People just might not like unsolicited e-mail... it might seem like you're being too pushy.

Mobile Marketing

This medium is fast catching the fancy of many advertisers. Currently, all methods to advertise on mobile phones remain invasive, as in annoying SMSes and phone calls. There is, however, a fast-increasing list of Web sites that *pay* users to receive SMSes. Sites like Adginger (www.adginger.com) and YouMint (www.youmint.com) allow users to list their likes and preferences when they sign up, so you advertise to a select target audience.

One of the most compelling reasons to use this form of marketing is that the user has requested to receive ads of a specific nature. This is one of the most personal mediums to advertise on—people carry their mobiles with them. This therefore has the fastest time-to-market. There is also a small component of viral marketing involved: a user could forward your message to others who might be interested.

Costs vary from site to site. However, approximate costs per SMS go like this:

Number of SMSes	Cost per SMS (Rs)
1 to 5,000	2.00
5,001 to 10,000	1.75
10,001 to 25,000	1.50
>25,000	Negotiable

Since these are the initial days of mobile advertising, the database of registered users is not very large; it's a good idea to advertise in the 1 to 5000 band.

Viral Marketing

This term is often defined as a technique that uses existing networks to produce increased brand awareness by word of mouth. PR companies manage portfolios of small businesses in the manner of press releases for new products or services, and profiling corporate stories for submission to news Web sites as well as magazines

and newspapers. These can be handled for approximately Rs 15,000 per year.

This technique could involve, for example, the creation of eye-catching Web promotions in the form of Flash animations and videos that can be viewed at YouTube (www.YouTube.com) and similar sites. If you are in the consumer goods, entertainment, or foods industry, you could collaborate with sites like Hungama (www.hungama.com) or Contests2Win (www.contests2win.com) to create promotional games around your products. With prizes as an incentive, you can engage in brand-building—customers might recommend interesting games to their friends, for example.

According to Sandeep Krishnamurthy, associate professor of marketing and e-commerce at the University of Washington, firms planning to implement viral marketing must understand its negative aspects:

❑ **Brand control:** There is no control over the branding of your products. You can't predict who an individual will contact after seeing your message. There is no control over what may be added to your original message—and that can affect your product branding.

❑ **Uncharted growth:** Since viral marketing depends so much on users to advertise your product, it might lead to unwanted growth paths for the brand. You might look at Hotmail, which grew to be one of the leading Web mail providers in India. Thanks to the Hotmail ad appended to the bottom of every outgoing mail, quite a few users out of India signed up for the service. This worked well for Hotmail, but it could be a negative for a small business if the advertising is not done correctly. If users perceive the “viral ad” negatively, a damage control exercise will take up more time and money than originally allocated.

❑ **Lack of measurement:** You can't always track who viewed your promotions and what actions they took thereafter. In most cases, it is not possible to gauge if new business was generated due to your viral marketing efforts.

❑ **Spam Threats:** Especially when there are incentives to promote a product to a friend, an unscrupulous individual may resort to spamming, which could ruin your reputation.

Having said that, there are several instances where viral marketing has been used to good effect. Take Zapak.com for example, India's largest gaming site, who recently part-



“The PR industry has started creating a digital influence at a budget well below 1 lakh rupees”

Meenakshi Bhalla
President,
Ogilvy Public Relations Worldwide (India)